AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

Course Code: FIN241

Course Title: Microfinance

Mid-Term Exam VC

Spring 24-25
Date: 10-April-2025

Number of exam pages: 5 (including this cover page)	**Time Allowed: 2 hours**

Instructions:

1. Take FIVE (5) minutes to read all instructions carefully before attempting to write.
2. Mobile phones must be in "SWITCHED OFF" mode throughout the examination.
3. This is a CLOSED book examination. NO documents of any kind are allowed.
4. You MUST answer the questions using only the answer booklets provided
5. You MUST return the examination paper together with your answer booklets.
6. Do NOT write your answers in pencil except graphs/sketches

Students are NOT allowed to use any type of dictionary or mobile phones during the examination

Students are allowed to use non-programmable calculators only (if needed).

The penalty for an ACADEMIC MISCONDUCT in this examination is an F Grade.

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Part A: Solve the following problem (40 points)

Problem 1:

Balance Sheet

	Dec. 2018	Dec. 2019
ASSETS		
Cash	35,142	40,000
Investments	56,525	60,000
Total loan portfolio	702,000	755,000
(Loan loss reserve)	-46,500	-60,400
Total net loans outstanding	**655,500**	**694,600**
Fixed assets	30,250	25,800
(Accumulated depreciation)	-7,300	-9,000
Net fixed assets	**22,950**	**16,800**
TOTAL ASSETS	**770,117**	**811,400**

	Dec. 2018	Dec. 2019
LIABILITIES		
Forced savings	120,000	133,000
Commercial loans	20,900	25,800
Subsidized loans	58,500	63,000
TOTAL LIABILITIES	**199,400**	**221,800**
EQUITY		
Donated equity cumulated	263,000	263,000
Donated equity current	0	5,000
Cumulated earnings/losses	45,906	39,510
Current earnings/losses	261,811	282,090
TOTAL EQUITY	**570,717**	**589,600**
TOTAL LIABILITIES + EQUITY	**770,117**	**811,400**

Income Statement

	Dec. 2018	Dec. 2019
OPERATING INCOME		
Interests and fees from loans	327,750	347,300
Income from investments	5,653	6,000
TOTAL OPERATING INCOME	**333,403**	**353,300**
OPERATING EXPENSES		
Interest and fee expenses	9,970	11,090
Loan loss provision expense	15,397	18,456
Salaries	80,000	90,000
Other administrative expenses	78,000	75,000
Depreciation	3,025	2,580
TOTAL OPERATING EXPENSES	**186,392**	**197,126**

	Dec. 2018	Dec. 2019
NET OPERATING PROFIT / LOSS	**147,011**	**156,174**
NON OPERATING INCOME		
Cash donations	100,000	100,000
Other non-operating income	14,800	25,916
TOTAL NON OPERATING INCOME	**114,800**	**125,916**
Non-operating expenses	0	0
TOTAL PROFIT / LOSS	**261,811**	**282,090**

In addition to the above balance sheet and income statement you are given the following information about MFI Lucky.

Expected Inflation	4.00%
The market rate for commercial loans is	15.00%
The actual interest paid for subsidized loans is	$3,000
In-kind donations adjustments	$50,000
In-cash donations adjustments	$100,000

Required: Perform the necessary adjustments and calculate the OSS and FSS for the MFI Lucky. Interpret the result. [Note: you should show the formula and every step of your calculation]

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Part B: Choose 2 out of 3 questions (60 points)

Question 1:
Non-bank financial institutions are amongst the institutions providing Microfinance services. Discuss the main traits of these institutions and their role in providing microfinance initiatives. Support your answer with relevant examples. **(30 marks)**

Question 2:
Informal or community-based financial service providers can be divided into two broad categories: indigenous and facilitated. Examples of facilitated providers in the informal sector include Savings Groups (SGs), Self Help Group (SHGs), and community associations. Compare and contrast the methodology adopted by SGs and SHGs. Support your answer with relevant examples. **(30 marks)**

Question 3:
How can the government promote savings and ensure consumer protection, according to what you have seen in the microfinance course? **(30 marks)**

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**********End of questions**********

Formula Sheet

- APR = (AE + LL + CF + K –II) / (1-LL)
- AE = (salaries + rent + depreciation + other administrative expenses) / Average outstanding portfolio
- LL = ((Loan loss reserve year(n-1) + Loan loss provision year(n))- Loan loss reserve year(n) / average outstanding portfolio
- Average equity for cost of funds calculation = Average equity – average net fixed assets
- Forced savings = Average forced savings x rate on saving services
- subsidized loan= Average subsidized loans x rate on commercial loans
- Commercial loan = Average commercial loans x rate on commercial loans

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- Equity= Average equity for cost of funds calculation x inflation rate
- CF = (Forced savings + subsidized loan + Commercial loans + Equity) / Average outstanding portfolio. note: the numbers in the numerator are used after applying the market rates
- II = Income from other than loan portfolio / Average outstanding loans
- Arrears Rate = Total loan installments past due / Gross portfolio outstanding
- Portfolio at Risk (PAR) = Total outstanding loan balance on delinquent loans / Gross portfolio outstanding
- Loan Loss rate = total amount written off (in the period) / Average outstanding portfolio (in th period)
- INFLATION ADJUSTMENT = (Average equity – Average net fixed assets) x Inflation rate
- COST OF FUNDS ADJUSTMENT = Average subsidized funds x (commercial interest rate – inter rate paid) OR *(Average subsidized funds x commercial rate) - interest rate paid*
- OSS = operating income / total operating expenses
- FSS = Adjusted operating income / adjusted operating expenses

Ratio	Formula
Portfolio to assets	Gross loan portfolio/assets
Operating efficiency ratio	Operating expense/revenues
Cost per active client	Operating expense/average number of active clients
Borrowers per loan officer	Number of active borrowers/ number of loan officers
Active clients per staff member	Number of active clients/total number of personnel
Portfolio yield	Cash received from interest, fees, and commissions on lo portfolio/ average gross loan portfolio
Return on assets (ROA)	Net income after taxes and before donations/average ass
Return on equity (ROE)	Net income after taxes and before donations/average equ
Nonperforming loans as of 30 days past due (NPL30)	(Nonperforming loans> 30 days + value of renegotiate loans)/gross loan portfolio
Renegotiated loans ratio	Value of renegotiated loans/gross loan portfolio
Write-off ratio	Value of loans written off/average gross loan portfolio
Debt to equity (leverage)	Liabilities/equity
Equity to assets ratio	Total equity/total assets

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Liquid ratio (quick ratio or acid-test ratio)	(Cash + trade investments)/ (demand deposits + short-term time deposits +short-term borrowings + interest payable on funding liabilities +accounts payable + other short-term liabilities)
Liquid assets to total assets	Cash/total assets
Loans to deposits ratio	Gross loan portfolio/deposits

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